

Senior High School

Business Finance

Quarter 1 – Module 1 Introduction to Finance and Key Concepts



SLM

SELF-LEARNING MODULE

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**Quarter 1 – Module 1
Introduction to Finance
and Key Concepts**

Introductory Message

For the facilitator:

Welcome to the Business Finance Self-Learning Module on Introduction to Finance and Key Concepts.

This module was collaboratively designed, developed and reviewed by educators both from public and private institutions to assist you, the teacher or facilitator in helping the learners meet the standards set by the K to 12 Curriculum while overcoming their personal, social, and economic constraints in schooling.

This learning resource hopes to engage the learners into guided and independent learning activities at their own pace and time. Furthermore, this also aims to help learners acquire the needed 21st century skills while taking into consideration their needs and circumstances.

In addition to the material in the main text, you will also see this box in the body of the module:



Notes to the Teacher

This contains helpful tips or strategies that will help you in guiding the learners.

As a facilitator, you are expected to orient the learners on how to use this module. You also need to keep track of the learners' progress while allowing them to manage their own learning. Furthermore, you are expected to encourage and assist the learners as they do the tasks included in the module.

For the learner:

Welcome to the Business Finance Self-Learning Module on Introduction to Finance and Key Concepts.

This module was designed to provide you with fun and meaningful opportunities for guided and independent learning at your own pace and time. You will be enabled to process the contents of the learning resource while being an active learner.

This module has the following parts:

Activity	: This will bring understanding to what you already know and experience to what you should learn further.
Analysis	: In this phase, you will process and classify what is valid and not for a more in-depth understanding.
Abstraction	: This part leads you in reinforcing what you know and should know more. Exercises are presented for independent practice to solidify your understanding and skills of the topic.
Application	: This stage brings you to a more practical way that you are going to use what you have learned and think new ways on how it can be improved further.

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INTRODUCTION TO FINANCE AND KEY CONCEPTS

CONTENT STANDARDS

The learners demonstrate an understanding of the definition of finance, the activities of the financial manager, and financial institutions and markets.

PERFORMANCE STANDARDS

The learners are able to:

1. Define Finance.
2. Describe who are responsible for financial management within an organization.
3. Describe the primary activities of the financial manager.
4. Describe how the financial manager helps in achieving the goal of the organization.
5. Describe the role of financial institutions and markets.

LEARNING COMPETENCIES

The learners shall be able to explain the major role of financial management and the different individuals involved.

LEARNING OBJECTIVES

The learners will be able to:

1. Have an appreciation of what the overall objective of management should be.
2. Describe the goals of the firm and explain why maximizing the value of the firm is an appropriate goal for a business.
3. Identify factors that influence the change in market price.

INTRODUCTION

Finance is part of our everyday life. It is part of all disciplines and all facets of socio-economic activities of humans. Finance has evolved to assume a very important position in the decisional process of households, businesses, governments, and other non-business organizations. No financial decision can be efficiently and effectively implemented without financial management.

In this introductory module, we shall attempt to answer the following questions:

- What is finance?
- What is the function of finance?
- How do we explain financial management with emphasis on the meaning, objectives, and roles?

Remember, I will not be with you in person to guide and clarify matters for you. Therefore, please work on all the pre-tests, and activities. The activities and learning tasks enable you to use the concepts or practice the skills you read about in this text. The checkpoints and comments on the activities will not only give you feedback on your performance but also elaborate on the concepts as well. The lessons in this component will prepare you for your post-assessment at the end of the module.

Are you ready to learn more? But first we need to assess your knowledge in finance. The next page is the pre-test. Do not be afraid, you will not be graded.

You may now go to the next page.

GOOD LUCK!

PRE-TEST

Let us see how much you already know about the topics which we are going to discuss in this module. You may start answering now.

Multiple Choice. Encircle the letter that corresponds to the best answer.

1. It refers to the company's management of the type and amount of assets and liabilities that it will hold in the course of its operations
 - A. Competent Management
 - B. Dividends
 - C. Liquidity and Leverage
 - D. Profitability
2. Who is responsible for the election of board of directors?
 - A. Chief Executive Officer (CEO)
 - B. Finance Manager
 - C. President
 - D. Shareholders
3. Finance function related to management of organization is concerned with the following except:
 - A. Demand of capital
 - B. Size of firm
 - C. Type of equipment used
 - D. Use of debt
4. It deals with evaluating the allocation of resources in the economy and also related to costs and profits, demand and supply and production and consumption.
 - A. Accounting
 - B. Economics
 - C. Finance
 - D. Marketing
5. Which of the following is NOT TRUE about dividends?
 - A. Companies which have better dividend policies are generally more attractive than companies who do not pay out dividends.
 - B. Holders of shares receive dividends from a corporation as returns on their investments in the form of cash or other properties.
 - C. There may be times that companies do not pay out dividends because of future expansions.
 - D. Unlike the other factors affecting share price, dividend policies should not go hand in hand with other factors in determining market price.

6. Who is responsible for promoting good relationships with customers and distributors
- A. VP for Administration
 - B. VP for Finance
 - C. VP for Marketing
 - D. VP for Production
7. The concept of finance includes:
- A. Amount, budget, capital, and money
 - B. Capital, funds, money, and amount
 - C. Funds, amount, budget, and money
 - D. Money, funds, capital, and budget
8. Which of the following is the function of VP for Finance?
- A. Conducting or directing research that will allow the company identify new variants of the existing products/services already offered in the market.
 - B. Coming up with a plan that maximizes the utilization of the company's production facilities.
 - C. Determining the location and the maximum amount of office space needed by the company.
 - D. Determining how much of the total assets of the company is funded by debt and how much is financed by equity.
9. Financial managers evaluating decision alternatives or potential actions must consider _____.
- A. Only risk.
 - B. Only return.
 - C. Both risk and return.
 - D. Risk, return, and the impact on share price.
10. Which of the following is not considered as one of the key financial decisions of management?
- A. Acquisition of financial resources for the organization
 - B. Allocation of financial resources within the organization
 - C. Alteration of financial needs of the organization
 - D. Anticipation of financial needs of the organization
11. It is the act of estimating revenue and expenses over a period of time.
- A. Budgeting
 - B. Finance
 - C. Investments
 - D. Sources of funds

12. Corporate owners receive realizable returns through _____.
 A. Earnings per share and cash dividends.
 B. Increase in share price and cash dividends.
 C. Increase in share price and earnings per share.
 D. Profit and earnings per share.

Given below are Income Statements and Cash Flow Statements of companies A, B and C? Which of the following statements is correct?

COMPANY A

<u>Income Statement</u>		<u>Cash Flows</u>	
Sales	P 100,000	Collection from Customers	P 100,000
Less: Costs	<u>150,000</u>	Payment of Expenses	<u>50,000</u>
Profits	<u>(P 50,000)</u>	Net Cash Flow	<u>P 50,000</u>

COMPANY B

<u>Income Statement</u>		<u>Cash Flows</u>	
Sales	P 100,000	Collection from Customers	P 100,000
Less: Costs	<u>70,000</u>	Payment of Expenses	<u>70,000</u>
Profits	<u>P 30,000</u>	Net Cash Flow	<u>P 30,000</u>

COMPANY C

<u>Income Statement</u>		<u>Cash Flows</u>	
Sales	P 100,000	Collection from Customers	P 0
Less: Costs	<u>50,000</u>	Payment of Expenses	<u>50,000</u>
Profits	<u>P 50,000</u>	Net Cash Flow	<u>(P 50,000)</u>

13. For Company A
- Company A hand has a negative cash flow but is unprofitable. The company has an account payable of PHP100,000 and its insufficient cash.
 - Company A hand has a positive cash flow but is unprofitable. This is a result of the company's delay in payment of its costs. The company will soon have to pay the remaining PHP100,000 liability and its cash will no longer be sufficient.
 - Company A is profitable and has a positive cash flow. Based on the information provided, Company A seems to be the best option.
 - Company A is profitable but generated negative cash flows which resulted from the uncollected accounts receivable of PHP100,000. Without adequate cash inflows to meet its obligations, the company will face liquidity problems, regardless of its level of profits.

14. For Company B

- A. Company B hand has a negative cash flow but is unprofitable. The company has an account payable of PHP100,000 and its insufficient cash.
- B. Company B hand has a positive cash flow but is unprofitable. This is a result of the company's delay in payment of its costs. The company will soon have to pay the remaining PHP100,000 liability and its cash will no longer be sufficient.
- C. Company B is profitable and has a positive cash flow. Based on the information provided, Company B seems to be the best option.
- D. Company B is profitable but generated negative cash flows which resulted from the uncollected accounts receivable of PHP100,000. Without adequate cash inflows to meet its obligations, the company will face liquidity problems, regardless of its level of profits.

15. For Company C

- A. Company C hand has a negative cash flow but is unprofitable. The company has an account payable of PHP100,000 and its insufficient cash.
- B. Company C hand has a positive cash flow but is unprofitable. This is a result of the company's delay in payment of its costs. The company will soon have to pay the remaining PHP100,000 liability and its cash will no longer be sufficient.
- C. Company C is profitable and has a positive cash flow. Based on the information provided, Company C seems to be the best option.
- D. Company C is profitable but generated negative cash flows which resulted from the uncollected accounts receivable of PHP100,000. Without adequate cash inflows to meet its obligations, the company will face liquidity problems, regardless of its level of profits.

REVIEW OF PREREQUISITE KNOWLEDGE

Once you graduate from school, you will no longer receive your daily allowance. Either you would be employed by a company, manage your family business, or start up your own business. Recall from Fundamentals of ABM 1 the **forms of business organizations**.

- What type of business organization is owned by one person who operates it for his or her own profit? _____.
- What form of business organization is owned by two or more people and operated for profit? _____.
- It is an entity created by law owned by shareholders.
_____.

Let us assume that you are the biggest shareholder in a corporation. What objectives do you want to achieve as owners of the corporation?

PRESENTATION OF THE NEW MODULE

Finance is always of great importance, be it in a business or in one's everyday life. People confront financial crisis and need to tackle financial risks on a daily basis. As it is important to manage risks in business, it is equally important to manage risks in life as well.

ACTIVITY

Recall your everyday life last year as a grade 11 student.

- a. How much allowance were you given to and how often did you receive it (daily, weekly, etc.)?

Remember the activities you've done in a day from getting to school, to attending flag ceremony, classroom discussions, lunch breaks, end of classes, occasional *meriendas* or going out with friends and playing computer games, going back home and going back out to a nearby store to buy autoload because you realized that you can't end the day without texting your crush.

- b. How much did you save out of the allowance you get from your parents on a daily basis?
- c. What were the expenses you usually incurred (i.e. tricycle fare, lunch, snacks, computer games, etc.) throughout the day?
- d. What do you think is the value of savings and possibly investing at a young age?

ANALYSIS

1. What problems do you face in making financial decisions?
2. Go back to the list of expenses in the activity above. If the total peso amount exceeds the daily allowance, what would you do? Where will you get extra cash? What other sources of cash do you know?
3. If the peso amount resulted in surplus or excess cash, what would you do with the excess money?

ABSTRACTION

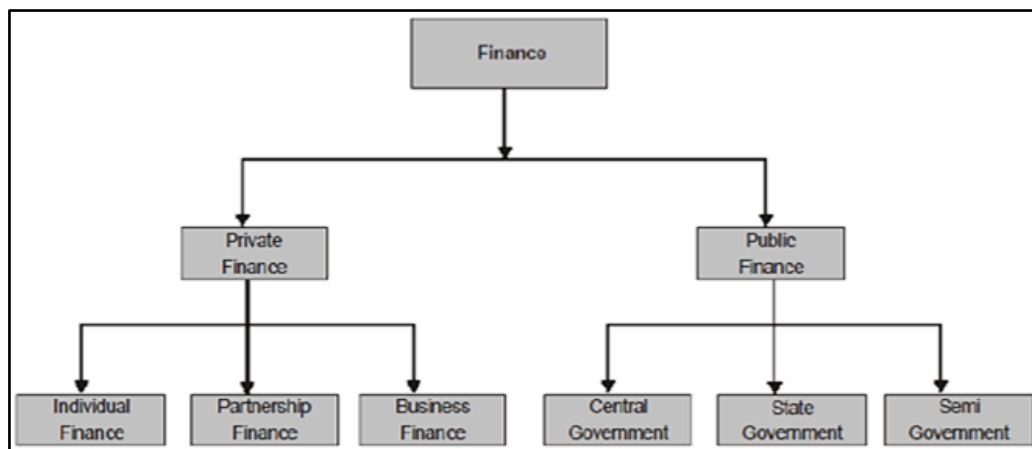
Most of the above activities you are doing involving decisions on where to use your allowance could be a finance decision.

Before we discuss the roles of economic management in organization, allow us to first define what finance is.

- **Finance** could also be defined because ***the art and science of managing money*** (Gitman & Zutter, 2012). It includes financial service and financial instruments. Finance is additionally cited because the ***provision of cash at the time when it's needed.***
- The concept of finance includes capital, funds, money, and amount. But each word incorporates a unique meaning. Studying and understanding the concept of finance becomes a crucial a part of the business.

Types of Finance

Finance is one in all the important and integral parts of business concerns; hence, it plays a significant role in every a part of the business activities. it's utilized in all the areas of the activities under the various names. Finance are often classified into two major parts:



Private finance includes the Individual, Firms, Business or Corporate Financial activities to satisfy the necessities.

Public finance concerns with revenue and disbursement of state funds like Central Government, regime and Semi-Government Financial matters.

Nature of Finance Function

The functions of finance include ***sourcing and application of funds, and demands that money is employed within the firm wisely, that is, when and where it's desired.*** Money sourced, for instance, to enhance on the assembly

base of a firm should be appropriated wisely. it'll be most inappropriate to use such funds to amass assets unrelated to the course of production. Finance functions are associated with overall management of a corporation. It's **concerned with policy decisions like business, size of firm, sort of equipment used, use of debt, and liquidity position.**

Finance are some things different from Accounting moreover as Economics but it uses information about accounting for creating effective decisions. **Accounting** deals with recording, reporting, and evaluating the business transactions, whereas Finance is termed as managerial or decision-making process. Economics deals with evaluating the allocation of resources within the economy and also associated with costs and profits, demand and provide and production and consumption. Economics also considers those transactions which involve goods and services either reciprocally of money or not.

Concept of monetary Management

The activities of organizations whether business or non-business, have finance as their centerpiece. The role of finance however reflects the objectives of a corporation.

Therefore, **financial management may be a reflection of the character and objectives of the organization.** Financial management is thus a awfully important aspect of finance although it's tasking to separate financial management from the remainder of other finance activities (Myres, 1976).

However, a shot to limit the areas of economic management may be made if one agrees with the actual fact that financial management itself requires the simultaneous consideration of **three key financial decisions** (Christy and Roden, 1973), namely:

1. Anticipation of monetary needs of the organization;
2. Acquisition of economic resources for the organization; and
3. Allocation of economic resources within the organization.

Financial management is, therefore, a dynamic and evolving art of constructing daily financial decisions and control in households, businesses, non-business organizations and government. It's a **managerial activity which is anxious with planning, providing, and controlling the financial resources at the disposal of a company.**

Thus, a financial manager continues to answer some basic questions like:

- What specific assets should the organization acquire?
- How much funds should the organization commit?
- How can such funds be acquired?

The Activity C above that you simply did is named **budgeting**.

●**Budgeting** is that the act of estimating revenue (in the shape of their allowance) and expenses over a period of your time (in this case, on a daily basis).

The excess money presents a chance for **investments**.

- Investments are available many forms that may generate income or appreciate within the future.
- Between hiding their cash under their bed and depositing it within the bank, it'd be better to stay their money in bank deposits because these earn interest.

All your answers in analysis 2 are **sources of funds**.

- When faced with financial difficulties (in this case, the shortage of funds to fulfill this expenses) we glance for people or institutions that may give us the money we'd like.

For individuals, Finance is worried with decisions about:

- how much of their earnings they spend.
- what quantity they save or how much they have.
- how they invest their savings.
- how they raise additional funds they have (Gitman).

As you already know, you'll be able to be a shareholder of an organization by buying stocks.

- How and where are you able to buy stocks?
 - Corporations may either be **privately owned** or **publicly owned**.
 - Privately owned corporations are often owned by relations whose stocks might not be offered to outsiders unless consent by the members of the family is secured.
 - Companies which are publicly listed are owned by unrelated investors and are traded in organized exchanges just like the Philippine securities market. While there are many stockholders, there's generally a gaggle of investors or a family which controls each listed company.
 - For example, within the case of BPI, the most important stockholder is Ayala Corporation and within the case of Banco De Oro, it's SM Investment Corporation.
 - Prices of stocks of listed corporations are driven by several factors like the earnings of the businesses, the prospects of the industry where these companies operate, the overall

market sentiment, and therefore the economic prospects of the country, among others.

- The overall objective of a shareholder should be **wealth maximization**.

Measurement of the shareholder's wealth

Assume you got 10 shares of Globe Telecom at Php 2,510 each on September 9, 2019. This brings your investments to Php 25,100. What happens to the worth of your investment if the worth goes up to Php 2,600 per share or it goes right down to Php 2,300 per share?

*An **increase** of the share price to Php 2,600 per share implies that people are willing to shop for the shares for that quantity. If you were to sell your shares at this time, it'll end in a **profit** of Php 90 per share or Php 900 on your whole investment. Hence, the worth of your investment increased from Php 25,100 to Php 26,000. Therefore, there's a rise in shareholder's wealth.*

*On the opposite hand, a **decrease** within the share price to Php 2,300 per share means people are only willing to shop for shares for Php 2,300. If you were to sell your investment at this time, you may receive Php 23,000 which might end in a loss of Php 2,100. The decrease in value of your investment ends up in a decrease in shareholder's wealth.*

The shareholders' wealth is measured supported this market value of the corporation's stocks. The value changes across different periods. Hence, the worth of an investment changes in numerous points in time supported the value at that point.

Factors that Influence value

Internal Factors

1. **Profitability** - Profit may be a measure of the financial performance of an organization for a period of your time. Although it's a significant driver for increasing the worth of stock, an investor mustn't depend upon profits alone. It's possible that the corporate has profits but its income is negative.

2. **Good liquidity and reasonable leverage position** - Liquidity and leverage refers to the company's management of the kind and amount of assets and liabilities that it'll hold within the course of its operations.

3. **Dividends** - Holders of shares receive dividends from a company as returns on their investments within the type of cash or other properties. Companies which have better dividend policies are generally more attractive than companies who don't pay dividends. Note that there could also be times that companies don't pay dividends thanks to future expansions.

4. **Competent management** - Competent managers may have any of the subsequent attributes: visionary, decisive, people-oriented, inspiring, innovative, respected, and experienced/seasoned manager.

5. **Corporate plans that improve the business prospects**

External Factors

1. Macroeconomic conditions
2. Political stability
3. Prospects of the industry where the corporate operates
4. General market sentiment
5. Flow of foreign funds invested within the Philippine exchange

APPLICATION

Study this case and answer the question: Applying **financial decisions** in business situations.

A plastic manufacturing company sourced for a loan of Php15M from the bank to increase its production capacity but used the money in establishing structures for the provision of staff accommodation.

On the other hand, a packaged water manufacturing company sourced for a loan of Php13M from the bank and used it to purchase raw materials for its production, bought some machinery, and expanded a bit of the factory.

Which of the companies stands a better chance of increasing its turnover and have the capacity to repay the loan in good time? Give reasons.

ENRICHMENT

1. Aside from the aforementioned factors, what other factors can influence the investor's perception on the company's performance which would ultimately affect share price?

2. Why is the study of finance important to you?

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